Phase 3

As capital expenditure ramps up, capacity is increased. This brings more supply into the market which causes/encourages prices to stabilize.[8]

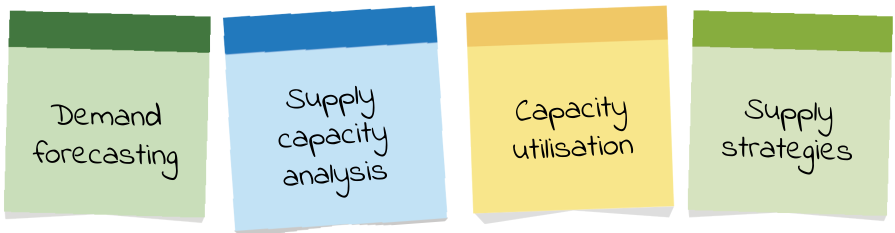
Phase 4

Supply from new production overwhelms demand and prices begin to fall. This hurts profitability.[8]

Phase 5

Once the reality of lower prices hits the market, many players exit the industry. This drain of supply from the market creates a new equilibrium that becomes a cyclical bottom. Once the capacity reduces, it provides space for under capacity and picks up profitability, and the cycle turns around, as phase one repeats itself.[8]

The cycle is spread out over years and there is no definite point where the industry can be said to move from one phase to another. To understand the demand-supply scenario, analysts, as well as entrepreneurs, must carry out the following steps:



[8] *https://www.daytrading.com/commodity-cycle*